

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

WAY INTERGLOBAL NETWORK, LLC, *Complainant*

v.

SHENZHEN UNIFELIX SCM LIMITED, *Respondent*.

DOCKET NO. 22-28

Served: January 4, 2023

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER DENYING MOTION TO DISMISS

I. Introduction

On December 1, 2022, Respondent Shenzhen Unifelix SCM Limited (“Unifelix”) filed a motion to dismiss this proceeding (“Motion”). On December 15, 2022, Complainant Way Interglobal Network, LLC (“Way”) filed a motion seeking a short extension of time to respond to the motion to dismiss the complaint. The parties were advised by email dated December 16, 2022, that the extension was granted. On December 23, 2022, Complainant timely filed its response to Respondent’s motion to dismiss (“Opposition”). On December 30, 2022, Unifelix filed its reply in support of the motion (“Reply”).

Unifelix seeks to dismiss this proceeding, arguing that the complaint establishes that the Commission lacks subject matter jurisdiction over this contractual dispute; the complaint must be dismissed to the extent it involves an alleged breach of service contract; the complaint fails to meet the *Iqbal* and *Twombly* standard or the Commission’s rules on private party complaints; and the Complainant admits no injury in fact and has no standing. Motion at 4-13; Reply at 2-7.

Way asserts that it has alleged sufficient subject matter jurisdiction; dismissal is not appropriate simply because a breach of contract is alleged; the complaint meets the *Iqbal* and *Twombly* standards; and the complaint states an injury with standing. Opposition at 3-7.

II. Motion to Dismiss Standard

Although the Commission’s Rules of Practice and Procedure (“Rules”) do not explicitly provide for motions to dismiss, Rule 12 of the Commission’s Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission’s Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. The “Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals based on failure to state a claim.” *MAVL Capital Inc. v.*

Marine Transport Logistics, Inc., Docket No. 16-16, 2020 FMC LEXIS 216, at *6 (FMC Oct. 29, 2020).

“When, as here, jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard applies.” *MAVL Capital*, 2020 FMC LEXIS 216, at *6 (citing *Kerns v. United States*, 585 F.3d 187, 192-93 (4th Cir. 2009)). “Under Fed. R. Civ. P. 12 (b)(6), the facts alleged are taken as true and all reasonable inferences are drawn in the complainant’s favor.” *MAVL Capital*, 2020 FMC LEXIS 216, at *6 (citing *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, Docket No. 12-02, 34 S.R.R. 35, 54, 2015 FMC LEXIS 43, at *36 (FMC Dec. 18, 2015)).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 663] (2009).

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc., Docket No. 09-01, 32 S.R.R. 126, 136, 2011 FMC LEXIS 12, at *25-26 (FMC Aug. 1, 2011). “A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.’” *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009) (quoting *Twombly*, 550 U.S. at 555). “When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 556 U.S. at 679. The focus at this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, 2014 U.S. Dist. LEXIS 125179, at *5 (M.D. Tenn. 2014).

III. Analysis

A. Jurisdiction

“[A]lleged violations of the Shipping Act must be addressed with the Federal Maritime Commission.” *Mediterranean Shipping Co. USA v. Cargo Inc.*, 46 F. Supp. 3d 294, 301 (S.D.N.Y. 2014) (citing *Gov’t of Guam v. American President Lines*, 28 F.3d 142, 144 (D.C. Cir. 1994) (affirming a district court’s dismissal of a Shipping Act claim due to lack of jurisdiction); *D.L. Piazza Co. v. West Coast Line*, 210 F.2d 947, 948 (2d Cir. 1954) (explaining that “the Federal Maritime Board has exclusive primary jurisdiction over” matters “under the Shipping Act”)).

Unifelix contends that the Commission “has assumed oversight of demurrage and detention charges for shipping containers at marine terminals” but not at “inland yards or within the inland intermodal transportation network” and that the demurrage at issue “was incurred at rail yards in Chicago, Illinois, thus excluding the dispute from the FMC’s jurisdiction.” Motion at 4-5; Reply 2-4.

Way asserts that the “services being provided by Respondent were for door-to-door carriage of goods, necessarily involving multi-modal shipments;” the “claim is not just in relation to inland demurrage, but also for these charges in relation to the ocean shipping;” and the twenty containers at issue support the finding of a practice. Opposition at 2-4.

The complaint specifically alleges that Way entered into a service contract with Unifelix for the handling of container shipments from its supplier in China of component parts used by Way in the assembly of recreational vehicles in the United States. Complaint at 2-3. Thus, it appears from the complaint that the containers were moved by through ocean transportation from China to the United States, although bills of lading for the containers have not yet been provided.

Complainant will need to establish that the containers moved by ocean carrier to a port in the United States by through transportation, for example if the shipments were door-to-door or port-to-door, so that the rail portion is within the through bill of lading. *See Norfolk S. Railway Co. v. Kirby*, 543 U.S. 14, 27 (2004) (“Conceptually, so long as a bill of lading requires substantial carriage of goods by sea, its purpose is to effectuate maritime commerce – and thus it is a maritime contract. Its character as a maritime contract is not defeated simply because it also provides for some land carriage.”).

Therefore, the complaint plausibly alleges that the Commission has jurisdiction over these shipments.

B. Breach of Service Contract

Unifelix contends that the alleged violations “are actually an alleged failure to fulfill service obligations under a service contract” and that these claims raise a simple breach of contract claim and they therefore should be dismissed. Motion at 7-8.

Way asserts that the references to the service contract does not divest the Commission of its jurisdiction and it is appropriate for the Commission to examine the service contract in determining the reasonableness of the Respondent’s actions. Opposition at 5.

The complaint alleges violations of Shipping Act sections 41102(d), 41102(c), 41104(a)(1) and (4)(E), 41103(a), and 41104(a)(10), not violations of service contract terms. Commission precedent holds that even when there is litigation between the parties in other courts, the Commission has an obligation to determine whether an entity has violated the Shipping Act. *Cargo One, Inc. v. Cosco Container Lines Co. Ltd*, 28 S.R.R. 1635, 1645 (FMC 2000); *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, 30 S.R.R. 991, 998 (FMC 2006).

Moreover, the Commission’s Interpretive Rule on Demurrage and Detention under the Shipping Act explicitly applies to service contracts. The Commission stated that “[n]othing in the rule limits its scope to shipping activities occurring at ports or marine terminals” and that:

The Commission is without authority to address practices of railroads or rail facilities unless they fall within one of those statutory definitions. That said, *if the practice at issue relates to rail but is nonetheless an ocean carrier practice, e.g.,*

is contained in an ocean carrier tariff or service contract, then the guidance in the rule would likely apply.

85 FR 29638 at 29650 (May 18, 2020) (emphasis added). The complaint alleges that the conduct at issue is part of a maritime service contract and therefore these allegations of Shipping Act violations must be heard by the Commission.

C. Whether the Claims are Sufficiently Pled

Unifelix contends that complaint offers a series of conclusory allegations without any allegations of pattern or practice and that the complaint “fails to identify which statute or regulation was allegedly violated other than to affix this string citation at the tail end of its allegations.” Motion at 8-9.

Way asserts that the complaint sufficiently alleges that the twenty containers were unlawfully withheld from delivery to Complainant due to unjust and unreasonable practices and that the twenty containers and Respondent’s continued refusal to deliver them is sufficient to allege a pattern or practice. Opposition at 6-7.

Although the complaint is concise, it does specify the factual basis for the complaint, including specific information, such as the container number, ETD, and rail dates, about each of the twenty shipments at issue. Complaint at 3-4. In addition, the complaint lists out the specific violations alleged after summarizing the factual context for the claim. Complaint at 5-6. The complaint further indicates that damages have been sustained in excess of one million dollars. Complaint at 6. Therefore, the complaint is sufficiently detailed to raise a plausible violation of the Shipping Act, which is sufficient at this stage of the proceeding.

The complaint also plausibly alleges a practice, which is required for a section 41102(c) violation, because the complaint alleges twenty shipments were at issue and that this was part of Respondent’s regular practices. At this stage of the proceeding, this is sufficient to allege a practice.

D. Injury in Fact and Standing

Unifelix contends that one cannot recover reparations for damages that have not been sustained as Way has not paid its freight or demurrage; and claimed damages were not caused by Respondent’s actions; that attempts to change the service contract or obtain payment from others were unsuccessful; and that therefore Way lacks standing to bring this complaint. Motion at 11-13.

Way asserts that the containers have not been released; unliquidated and continuing damages are sufficiently pled; Respondent’s continued refusal to deliver twenty containers is sufficient to allege a pattern or practice; and that the complaint states an injury with standing. Opposition at 6-7.

Under 46 U.S.C. § 41305(b), a complainant is entitled to reparations for “actual injury caused by a violation of this part.” In order to recover reparations, a complainant must show with reasonable certainty that the violation of law is the proximate cause of the loss or injury. *Rose*

Int'l, 29 S.R.R. at 187, 2001 FMC LEXIS 39 at *231-232; *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 25, 1991 FMC 111 at *72-73 (ALJ 1991). The complaint asserts that there are significant monetary damages from “unpaid freight, invoiced demurrage, pending demurrage for freight not yet invoiced, internal time, and financial consequences from adverse impacts to supplier relationships.” Complaint at 5. Moreover, the complaint alleges that Complainant’s containers have not yet been released which is clearly sufficient to create standing. Therefore, plausible injury is alleged to establish standing. The parties should mitigate damages by continuing to work toward release of the containers as it appears that the damages continue to grow.

For the reasons stated above, the motion to dismiss is denied. The case should proceed to discovery where additional information may be obtained. The Complainant is advised that it will need to establish the violations alleged in the complaint. The parties are encouraged to discuss an amicable resolution of this proceeding. If a settlement is reached, a motion to approve the settlement with a copy of the settlement must be filed.

IV. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that Unifelix’s motion to dismiss the proceedings be **DENIED**. It is

FURTHER ORDERED that Unifelix shall file its answer to the complaint by January 20, 2023. It is

FURTHER ORDERED that as required by the initial order, the parties shall contact the Office of Consumer Affairs and Dispute Resolution Services (“CADRS”) and shall submit a joint status report with proposed schedule by January 30, 2023.


Erin M. Wirth
Chief Administrative Law Judge